DIGITALAIKART ORIGINAL

The Indian Motor Insurance Playbook

Renew, Claim & Win

2026-27 Edition

Every rule, timeline and script you need to renew for less - and get every rupee your claim deserves.

Verified against the IRDAI Master Circular on General Insurance Business (11 June 2024), the IRDAI Protection of Policyholders' Interests Regulations 2024, the Motor Vehicles Act 1988, the PM-RAHAT road-accident scheme and the Insurance Ombudsman Rules, 2017.
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About this playbook

This is a practical, plain-English guide to buying, renewing and claiming motor insurance in India. It is written for the person who owns a car or a two-wheeler, pays the premium every year, and has no intention of being short-changed when something goes wrong.

Every rule, timeline and rupee figure in this book comes from an official source: the Insurance Regulatory and Development Authority of India (IRDAI), the Ministry of Road Transport and Highways (MoRTH), the Motor Vehicles Act 1988, the Insurance Ombudsman Rules 2017, and the schemes notified by the Government of India. Where a number is an industry estimate rather than a notified rule, it is labelled as such. The full source list is at the end of the book.

Please read this first

This is education, not advice. It explains how motor insurance works and how the rules protect you. It is not a substitute for your own policy document or for professional advice.

Your policy is the contract. Insurers price and word products individually. Where this book and your policy differ, your policy governs. Always read your policy schedule, the Customer Information Sheet and the exclusions.

Rates and rules change. Third-party premiums are revised by MoRTH notification and IRDAI circulars are updated. Confirm the position in force on the date you renew or claim.

What you will be able to do after reading

- Read any motor policy in ten minutes and see exactly what is covered, what is not, and what it will pay.
- Renew for less without losing cover - using No Claim Bonus, portability and a disciplined add-on audit.
- Run a claim correctly from the first hour, so it is not delayed, reduced or rejected on a technicality.
- Hold an insurer to the legal claim clock (24 hours, 15 days, 7 days) and claim interest if it runs late.
- Escalate a bad decision the right way: grievance officer, Bima Bharosa, Insurance Ombudsman, consumer forum.

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PART ONE

Know Your Cover

What you are actually buying - and what it will pay.

1. The premium is not the problem. The payout is.

Most Indian vehicle owners think about motor insurance once a year, when the renewal message arrives, and make one decision: how to pay less. That is the wrong question. The money in motor insurance is not made or lost on the premium. It is made or lost on the claim - the day a ■60,000 repair becomes a ■38,000 cheque, or a clean accident becomes a rejection letter.

Two failures cost Indian vehicle owners the most, and both are avoidable:

- **Under-claiming.** The insurer applies depreciation, deductibles and 'non-payable' items, and the owner accepts the figure without knowing which deductions are legitimate and which are not.
- **Rejection on technicalities.** Late intimation, repair before survey, an undeclared modification, a lapsed policy, or a mismatch in the name on the policy and the RC - each of these can sink a claim that was otherwise valid.

Since 2024, the regulator has made your position materially stronger. IRDAI's Master Circular on General Insurance Business, dated 11 June 2024, put hard clocks on claims, stopped insurers from rejecting claims for want of documents, and required that a claim cannot be repudiated on grounds that are not relevant to the loss. Most owners do not know these rights exist. This book is about using them.

The three numbers that matter most

24 hours - the insurer must allocate a surveyor within 24 hours of your claim being reported.

15 days - the surveyor must submit the report within 15 days of being allocated.

7 days - the insurer must decide your claim within 7 days of receiving the survey report.

Miss these and the insurer is in breach of the regulations - and interest can be payable to you.

How to use this book

Read Part One once, properly. Parts Two and Three are working sections - keep them next to your policy at renewal and in your glovebox for the day of an accident. Part Four is your escalation manual. Part Five is the toolkit you will actually use: checklists, letters and a worksheet.

2. The two halves of motor insurance: third-party and own-damage

Every motor policy is built from two very different halves. Understanding the split is the single most useful thing in this book, because the two halves are priced differently, regulated differently and claimed differently.

The third-party half (mandatory)

Under Section 146 of the Motor Vehicles Act, 1988, no vehicle may be used on a public road without at least third-party insurance. This half pays for injury, death or property damage you cause to someone else. Its premium is not set by your insurer - it is fixed by the Government, through MoRTH notifications issued in consultation with IRDAI, and every insurer must charge the same amount for the same vehicle class. There is no discount and no negotiation on this half. Any agent who claims otherwise is misleading you.

The own-damage half (optional, but the one you will use)

Own-damage (OD) cover pays to repair or replace your own vehicle after an accident, fire, flood, riot, theft or natural calamity. It is optional - you can buy a 'third-party only' or 'liability only' policy - but it is the half that pays you. Its premium is priced by the insurer, varies widely between companies, and is where every real saving and every real dispute lives.

	Third-party (TP)	Own-damage (OD)
What it pays	Injury/death/property damage you cause to others	Repair or replacement of your own vehicle
Is it mandatory?	Yes - Section 146, MV Act 1988	No - optional
Who sets the price	Government (MoRTH/IRDAI), fixed	Your insurer, priced to risk
Can it be discounted?	No - identical at every insurer	Yes - shop around
Typical claim use	You hit someone; they claim from you	Your vehicle is damaged or stolen
Where the disputes are	Rare (fixed tariff)	Constant (depreciation, IDV, add-ons)

A **comprehensive** or **package** policy is simply both halves in one contract. When people say 'full insurance', they mean comprehensive. When an insurer advertises a low price, check whether it is quoting a comprehensive policy or only the mandatory third-party half.

Long-term cover for new vehicles

For **new cars**, the third-party half must be bought for **three years**; for **new two-wheelers**, for **five years**. This follows the Supreme Court's order in *S. Rajaseekaran v. Union of India*, implemented from 1 September 2018.

In practice, new vehicles are sold with a **bundled** cover: own-damage for one year, and the third-party half for three (car) or five (two-wheeler) years. After the first year, you renew the own-damage half annually.

IRDAI withdrew the old 'long-term package' covers (OD + TP bundled for the full term) from 1 August 2020.

3. How to read your policy like an insider

Your policy is a contract, and it has a handful of clauses that decide almost everything. Find these eight things and you understand your cover better than most agents do.

Term	What it means	Why it matters
Insured Declared Value (IDV)	The maximum your insurer will pay for your vehicle on total loss or theft - the current market value	Too low and you are underpaid on a total loss; too high and you pay a bigger premium for cover you cannot receive
Own-damage premium	The price of covering your own vehicle	This is the negotiable half; No Claim Bonus cuts it
Third-party premium	The fixed Government tariff	Identical everywhere - never a reason to switch insurer
Compulsory deductible (excess)	The first slice of every own-damage claim you pay yourself	Commonly Rs. 1,000-2,000 for cars; it is set in your policy schedule
Voluntary deductible	An extra excess you choose to accept	Reduces your premium but raises your out-of-pocket at claim time
Add-ons	Extra covers bought on top (zero-dep, engine protect, etc.)	The difference between a repair fully paid and a repair paid at 70%
Exclusions	Events and losses the policy will not pay for	Read these once a year; they are where rejections begin
Customer Information Sheet (CIS)	A plain-language summary IRDAI now requires	If you read one document, read this one

The Customer Information Sheet

Since the June 2024 Master Circular, every general insurance policy must come with a Customer Information Sheet in simple language. It sets out the scope of cover, the add-ons, the basis of the sum insured, the exclusions, the deductibles, the claim procedure, the turnaround times and the grievance contacts - and you can ask for it in your local language. If your insurer did not give you one, ask for it. It is your right, not a favour.

Three things to check the day your policy arrives

1. **Names match.** The name and address on the policy must match the Registration Certificate. A mismatch is one of the most common reasons a claim is refused.
2. **IDV is realistic.** Compare it against the resale value of your vehicle in the same year and condition. A deliberately low IDV is a silent underpayment.
3. **You have 30 days of free look.** Under the IRDAI (Protection of Policyholders' Interests) Regulations 2024, you can cancel a policy within 30 days of receiving the document if the terms do not suit you - you get a refund less a proportionate risk premium and stamp duty.

4. The money map: what actually decides your premium

Your motor premium is not a mystery. It is the sum of a few visible parts. Once you can see them, you can act on the ones you control.

Component	Who sets it	Can you change it?
Third-party premium	Government (MoRTH/IRDAI tariff)	No - fixed for your vehicle class
Own-damage base premium	Your insurer (rate on IDV)	Yes - compare insurers
No Claim Bonus	IRDAI ladder (20-50% off OD)	Yes - by staying claim-free
Add-ons	Insurer	Yes - buy only what you need
Voluntary deductible	You	Yes - trade premium for excess
GST	Government - 18% on the premium	No
Agent/broker commission	Built into the price	Indirectly - buy direct to compare cleanly

The fixed half: third-party rates

Third-party rates are notified by MoRTH in consultation with IRDAI and revised from time to time. The last structural revision was the 2022 Rules, amended in 2024. The figures below are **indicative** of the base rates in that revision and are shown so you can sanity-check a quote - always confirm the rate in force on your renewal date, because a 10-25% increase was under discussion in 2025-26.

Vehicle	Slab	Indicative annual TP base
Private car	Up to 1,000 cc	around Rs. 2,100
Private car	1,000 - 1,500 cc	around Rs. 3,400
Private car	Above 1,500 cc	around Rs. 7,900
Two-wheeler	Up to 75 cc	around Rs. 538
Two-wheeler	76 - 150 cc	around Rs. 714
Two-wheeler	151 - 350 cc	around Rs. 1,366
Two-wheeler	Above 350 cc	around Rs. 2,804
Electric vehicles	By kW rating	15% discount on the applicable rate

The one number to remember about third-party property damage

Third-party **bodily injury and death** liability is effectively unlimited. Third-party **property damage** is covered up to **Rs. 7.5 lakh** under the standard Indian motor policy wording (IRDAI's Motor Insurance Handbook). You may also choose to restrict property-damage cover to Rs. 6,000 in exchange for a lower liability-only premium - a trade most owners should not make.

PART TWO

Renew Right

Pay less every year without giving up the cover that pays you.

5. No Claim Bonus: the ladder that halves your premium

No Claim Bonus (NCB) is a discount on your own-damage premium for every year you do not claim. It is the biggest single lever on your premium - at the top of the ladder it cuts your own-damage premium in half. The slabs are fixed by IRDAI; no insurer may offer more or less.

Consecutive claim-free years	NCB on own-damage premium
1 year	20%
2 years	25%
3 years	35%
4 years	45%
5 years or more	50%

The rules that decide whether you keep it

- **NCB is on the own-damage premium only** - it never touches the fixed third-party premium.
- **It belongs to you, not to the vehicle.** When you sell the vehicle, you keep the NCB and can apply it to your next vehicle (within the permitted window, on proof of sale). The buyer does not inherit it.
- **It transfers between insurers.** Switching company at renewal does not reset your NCB, provided you carry proof - the previous policy or an NCB/continuity certificate. If you cannot produce it, the insurer may accept a declaration or verify against the industry database.
- **One claim resets it to zero.** The size of the claim is irrelevant - even a small own-damage claim wipes the whole ladder.
- **Missing the renewal window wipes it too.** If your policy lapses and you do not renew within 90 days, the accumulated NCB is lost. A comprehensive policy lapsed beyond 90 days also loses NCB and requires a fresh inspection.

> **NCB Protect: the add-on that saves the ladder**
>
> An NCB Protect add-on preserves your NCB even if you make **one** claim during the year, subject to the insurer's conditions (typically one claim, repaired at an authorised garage, renewed with the same insurer). It usually costs a few hundred rupees. It makes clear financial sense once your NCB is at 35% or more.

The claim-versus-absorb test. Before filing a small own-damage claim, do the arithmetic: the NCB you will forfeit next year, plus any deductible, against the repair cost. For small dents and scratches, paying out of pocket is often the cheaper decision over a three-year view. For anything large, claim.

6. The renewal checklist and the portability play

Renewal is the one moment each year when you have full control. Use it.

Renew on time - always

There is no grace period in motor insurance. The due date is the due date. Even a one-day lapse means the vehicle must be inspected before the policy is renewed, and any lapse beyond 90 days costs you both your NCB and your no-inspection privilege. Set the renewal reminder 30 days before expiry, not on the day.

Portability: you are not married to your insurer

At renewal you may move to any insurer. Your NCB travels with you (with proof). Portability is your leverage: get quotes from at least three insurers and one aggregator, and compare the comprehensive price on the same IDV, not the headline number.

Standalone own-damage: the newer option

Since the Motor Vehicles (Amendment) Act 2019, own-damage cover can be bought as a standalone policy, separate from the mandatory third-party cover. This lets you price the two halves independently. NCB works the same way on a standalone OD policy, and your NCB history carries across.

The renewal checklist

- Confirm your NCB percentage and get proof in writing before you shop.
- Check the IDV is realistic for the vehicle's age and condition - do not let it drift down unfairly.
- Re-audit your add-ons: drop what you no longer need, keep what protects you.
- Compare at least three comprehensive quotes on identical IDV and add-ons.
- Confirm the new policy starts on or before the old one ends - not after.
- Check names and address match the RC, and that the vehicle details are correct.
- File the new policy, the CIS and your NCB proof together.

7. Add-ons: which ones pay and which ones do not

An add-on is extra cover bought on top of the base policy. The right ones turn a partial payout into a full one. The wrong ones are money spent on a risk you will never face. Here is the honest ranking.

Add-on	What it does	Verdict
Zero depreciation	Removes the depreciation deduction on replaced parts	Buy it - the single most valuable add-on
Engine / gearbox protect	Covers engine and gearbox damage (e.g. water ingress)	Buy it if you drive through water or live in a flood-prone area
Roadside assistance (RSA)	Towing, fuel, flat tyre, jump-start, lockout help	Worth it for older vehicles and long commutes
Consumables	Covers engine oil, coolant, nuts, bolts and similar items	Reasonable and cheap - often bundled with zero-dep
Return to invoice	Pays the original invoice value on total loss/theft, not the depreciated IDV	Valuable in the first 2-3 years of a new vehicle
NCB protect	Preserves your No Claim Bonus after one claim	Buy once your NCB is 35% or more
Key replacement	Covers the cost of replacing lost or stolen keys	Cheap; useful on modern keyless vehicles
Tyre and rim cover	Covers tyre and rim damage not from a collision	Situational - only if your driving exposes tyres
Personal accident cover	A fixed sum for the owner-driver's injury or death	Check it - a mandatory owner-driver PA cover is standard; do not double-pay

How to run the add-on audit in five minutes

Ask two questions of every add-on: **(1) Does this risk apply to me?** and **(2) If it hits, what would it cost me out of pocket?** Keep the add-ons where the answer is a large number you could not easily absorb. Drop the rest. Zero-depreciation almost always stays; tyre cover on a city car almost always goes.

8. Cutting the premium without cutting your cover

There is a right way and a wrong way to lower a motor premium. The wrong way - trimming the IDV to an unrealistic level or dropping own-damage cover entirely - saves a little today and costs a great deal the day you claim. The right way lowers the price without lowering protection.

1. **Protect and use your NCB.** At 50%, it halves your own-damage premium. It is the largest legal discount available, and it is free if you stay claim-free.
2. **Shop the own-damage half.** The third-party half is fixed, so all real comparison happens on the OD premium. Get three quotes on the same IDV.
3. **Set a fair IDV.** Not the lowest - the realistic current market value. A lower IDV cuts the premium slightly but cuts your total-loss payout sharply.
4. **Take a voluntary deductible you can afford.** A higher excess lowers the premium. Choose a figure you could pay without pain at claim time.
5. **Buy only the add-ons that apply to you.** See Chapter 7.
6. **Buy direct or compare online.** Aggregators and direct channels make the OD price comparable; an agent's quote bundles commission into the number.
7. **Do not drop own-damage cover to save.** A liability-only policy pays others, never you. It is the cheapest policy and the worst value for a vehicle you actually care about.

> **A worked example of the right way**
>
> A three-year-old car, 35% NCB, comprehensive. Instead of cutting the IDV by 20% (which would save a few hundred rupees and cost a large sum on total loss), the owner drops tyre cover and a duplicate personal-accident cover, keeps zero-depreciation and RSA, takes a voluntary deductible of Rs. 2,500, and compares three insurers. The saving is real, and the cover that actually pays is untouched.

PART THREE

Claim Like a Pro

The first hour, the surveyor, and the legal clock.

9. The four stages of every motor claim

Every motor claim - car or two-wheeler, own-damage or theft - moves through four stages. Know them and you can never be surprised by what happens next.

Stage	What happens	What you do
1. Report	You intimate the loss and get a claim number	Report the same day; never repair first
2. Assess	A surveyor inspects and values the damage	Keep photos; be present; do not touch the vehicle
3. Approve	The estimate is agreed; cashless or reimbursement is chosen	Read the approved figure; question deductions
4. Settle	The insurer pays the garage (cashless) or you (reimbursement)	Collect the vehicle only after re-inspection

The single most common self-inflicted failure sits between stages 1 and 2: the owner gets the vehicle repaired before the surveyor has seen it. Once the damage is repaired, the insurer cannot verify it, and the claim is weakened or refused. **Do not repair before the survey or written approval.**

The golden rules of a clean claim

Intimate immediately - the same day, through the app, website or helpline.

Photograph everything - the damage, the scene, the number plate, and the odometer.

Never repair before approval.

Keep the claim number and every message you send or receive.

Be available for the survey and the re-inspection.

10. The first hour: intimation done right

The first hour after an accident decides how the rest of the claim goes. Do these things in order.

1. **Make the scene safe.** Move to the side, switch on hazard lights, set up the warning triangle if you have one, and get people off the road. If anyone is injured, call 112 first - see the PM-RAHAT scheme in Chapter 14.
2. **Call the police if required.** Theft, third-party injury or death, and major accidents need a police report (an FIR). See Chapter 14 for the exact list.
3. **Photograph before anything moves.** Wide shots of the scene, close-ups of the damage, the other vehicle's number plate, and the odometer.
4. **Intimate your insurer the same day.** Use the app, website or helpline. Most insurers expect intimation within 24-48 hours. Note the claim number and the name of the person you spoke to.
5. **Do not admit fault.** Give the facts to the police and the insurer. Fault is decided later, not at the roadside.
6. **Do not accept a cash settlement at the scene.** A quick cash offer from another driver can leave you with an unreported accident and an unpayable claim.
7. **Arrange the vehicle's movement only through approved channels.** Use the insurer's towing or RSA if you have it, and keep the receipt if you pay for towing yourself.

> **Why late intimation is so damaging**
>
> IRDAI's Master Circular states that an insurer cannot repudiate a claim merely because of a delay by the policyholder, where that delay did not increase the assessed loss. That protects you from unreasonable delay-based rejections. But a long delay can still make the damage unverifiable, weaken your position and slow the whole claim. Intimate the same day - it costs you nothing and removes the argument entirely.

11. The surveyor and the Rs. 50,000 rule

A surveyor is a licensed loss assessor who inspects the damage and reports a figure to the insurer. The survey report is the most important document in an own-damage claim - it is where your payout is effectively decided.

When a surveyor is mandatory

Under the June 2024 Master Circular, any motor loss assessed at **Rs. 50,000 or more** must be surveyed by a registered surveyor. Below that threshold, no surveyor is mandatory, and insurers may settle through app-based photo assessment, which is faster. (For non-motor general insurance, the threshold is Rs. 1 lakh.)

How the surveyor is allocated - and the 24-hour clock

Surveyors are now allocated through a technology platform run by the General Insurance Council, on a random, unbiased basis. The allocation must happen **within 24 hours** of your claim being reported. The surveyor must then submit the report **within 15 days** of allocation. If the surveyor is late, the insurer - not you - is responsible for obtaining the report on time.

How to work with the surveyor

- Be present if you can, and keep your own photographs and the garage estimate ready.
- Point out every item of damage - a surveyor cannot assess what is not shown.
- Understand that the surveyor decides repair versus replacement; for parts that cannot be safely repaired, replacement is the correct call.
- Ask for the assessed figure in writing before repairs begin.
- Remember that salvage - the damaged parts removed - is the insurer's responsibility to collect, not yours. The Master Circular says so explicitly.

The Rs. 500-per-day penalty point, stated correctly

Some guides claim the insurer owes you Rs. 500 for every day the surveyor is late. The reliable position under the current IRDAI framework is simpler and stronger: the timelines (24 hours to allocate, 15 days for the report, 7 days to decide) are mandatory, and any delay beyond them is a violation of the regulations for which the insurer is liable to a penalty. Your remedy is the grievance and Ombudsman route in Chapter 20 - not a self-calculated daily charge.

12. Cashless or reimbursement: the real trade-off

When your own vehicle is damaged, you choose how the repair is paid for. The two routes behave very differently, and the wrong choice can cost you either money or control.

	Cashless	Reimbursement
Where you repair	A network garage only	Any garage you choose
Who pays upfront	The insurer pays the garage directly	You pay, then claim back
What you pay	Deductible and non-covered items	The full bill, refunded later
Speed	Faster - approval 3-7 working days	Slower - payout after documents
Repair control	Insurer and garage agree the scope	You control the repair
Main risk	Pressure to use cheaper parts	Documentation errors delay or reduce the payout

When to go cashless: a straightforward claim, a garage you trust in the network, and a need to avoid paying out of pocket. **When to go reimbursement:** a trusted local garage outside the network, a specialist repair, or a dispute about the repair scope. Cashless is more convenient; reimbursement gives you more control. Choose before the repair starts - not after.

If cashless is refused at the counter

Network garages sometimes claim a cashless authorisation is not available for a particular repair. Ask the insurer directly, through the app or helpline, whether cashless is available for that garage and that repair. If it is, the garage cannot simply refuse it. If cashless genuinely is not available, you have the right to go reimbursement - keep every original bill, estimate and payment receipt.

13. The documents you need - and the ones they cannot demand

Documents are where most claims slow down. Know exactly what is required, and know the rule that protects you from endless requests.

The standard own-damage claim file

- The duly filled claim form.
- A copy of the vehicle's Registration Certificate (RC).
- The original repair estimate from the garage.
- The original repair invoice and the payment receipt (for reimbursement).
- Photographs of the damage.
- A copy of the driver's licence, valid for the class of vehicle.
- The FIR or police report, where one is required (see Chapter 14).
- For cashless claims, only the repair invoice is generally needed, plus the FIR where applicable.

The rule that stops the paper chase

The June 2024 Master Circular states plainly that **no claim shall be rejected for want of documents**, and that insurers must call for the required documents at the underwriting stage - not surprise you with new demands after a loss. You may still be asked for documents that genuinely relate to the claim and could not have been collected earlier, such as bank details, the FIR or the driver's licence. But an insurer cannot reject a valid claim simply because a document was unavailable.

> **Keep a digital claim folder**
>
> From the day you buy the policy, keep a folder - on your phone and in the cloud - holding the policy PDF, the CIS, the RC, your driving licence and your NCB proof. On the day of an accident, you will be glad it exists. Add the photographs and the claim number to the same folder as you go.

14. FIR: when it is mandatory and when it is not

A First Information Report (FIR) is a police record of an incident. For some claims it is essential; for others it is unnecessary. Getting this wrong either wastes a day at the police station or sinks a claim.

Situation	FIR required?	Why
Vehicle theft	Yes - mandatory	Proof of a criminal act; the claim cannot proceed without it
Accident with third-party injury or death	Yes - mandatory	Criminal liability under the Motor Vehicles Act
Major accident with heavy damage	Usually yes	Police record supports liability and the loss
Hit-and-run by another vehicle	Yes	The offending vehicle must be traced or the case registered
Minor own-damage, no third party	Usually not	A self-declaration may be accepted; an FIR still strengthens the file
Damage in a flood or riot	Not usually	An own-damage claim under the policy; police record only if required

Where an FIR is required, also obtain the **non-traceable certificate** in a theft case, and submit the vehicle keys. These are standard requirements in the IRDAI motor handbook and their absence is a common cause of delay.

The road-accident cashless scheme: PM-RAHAT

Under Section 162 of the Motor Vehicles Act, the Government runs a scheme providing **cashless treatment up to Rs. 1.5 lakh per victim**, for up to 7 days from the date of the accident, on any category of road, for any victim of a road accident caused by a motor vehicle. It was launched nationwide on 13 February 2026 and named the **PM-RAHAT** scheme. Emergency response is integrated with the 112 helpline. For hit-and-run victims, a separate scheme pays Rs. 2 lakh on death and Rs. 50,000 for grievous hurt. If you or someone at the scene is injured, call 112 first.

15. Own-damage claims: depreciation, deductibles and what gets cut

You claimed Rs. 60,000 and received Rs. 38,000. Nothing was rejected - the gap is the normal arithmetic of an own-damage claim. Understand the three deductions and the gap stops being a mystery.

1. Depreciation on replaced parts

The policy pays the *value* of a part, not the cost of a new one, and a used part is worth less than a new one. The insurer applies a depreciation schedule to parts it replaces. The standard metal-parts ladder is:

Age of vehicle	Depreciation on metal parts
Up to 6 months	Nil
6 months to 1 year	5%
1 to 2 years	10%
2 to 3 years	15%
3 to 4 years	20%
4 to 5 years	30%
5 to 10 years	40%
Above 10 years	50%

Plastic, rubber, nylon and similar parts are depreciated at a higher flat rate under the tariff. The **zero-depreciation add-on removes this deduction entirely** - which is why it is the most valuable add-on in motor insurance.

2. The deductible (excess)

Every own-damage claim carries a compulsory deductible - the first slice you pay yourself, commonly Rs. 1,000-2,000 for cars and set out in your policy schedule. If you chose a voluntary deductible, that is added on top.

3. Non-payable items

Consumables (engine oil, coolant, nuts and bolts), and items excluded by the policy, are not paid unless you bought the relevant add-on. This is where a full repair bill and the settled figure most often diverge.

> **The arithmetic, plainly**
>
> Settled amount = (cost of parts, less depreciation) + (labour) - deductible - non-payable items. Zero-depreciation removes the first deduction; a sensible deductible choice reduces the second; the consumables add-on reduces the third. Fix all three and a comprehensive claim can come close to paying the whole bill.

16. Total loss and theft claims

Two claims behave differently from a repair, and both are decided against your IDV.

Total loss (including constructive total loss)

When a vehicle is damaged beyond economic repair - commonly when the cost of retrieval and repair exceeds about 75% of the IDV - the insurer treats it as a **constructive total loss** and settles on the IDV, less any deductible, rather than paying for repairs. This is why an unrealistically low IDV hurts most: it is the number you are paid on a total loss.

Theft

A theft claim is an own-damage claim with extra requirements. File the FIR immediately, submit the vehicle keys, and obtain the non-traceable certificate once the police close the search. The claim settles on the IDV, less the deductible. Do not delay the FIR - a late report of theft is one of the most common reasons a theft claim fails.

What to do on the day of a total loss or theft

1. File the FIR at once (theft) or ensure the police record the accident (major loss).
2. Intimate the insurer the same day and note the claim number.
3. Photograph everything (accident) or secure the keys and documents (theft).
4. Do not attempt repairs on a vehicle that may be a total loss.
5. Ask the insurer, in writing, whether the vehicle will be treated as a total loss.
6. Keep the RC, keys and documents together and hand them over only against a written acknowledgement.

17. Third-party claims and the MACT route

A third-party claim is not your claim - it is a claim made against you by someone you injured or whose property you damaged. Your insurer defends it and pays within the policy limits. Your job is to cooperate, not to negotiate a settlement yourself.

How it works

- The injured party (or their family) makes a claim against you as the vehicle owner.
- Your insurer steps in and handles the defence, because it carries the liability.
- For serious injury or death, compensation is decided by the **Motor Accident Claims Tribunal (MACT)**, not by the roadside.
- Third-party **bodily injury and death** liability is effectively unlimited under the Act; third-party **property damage** is covered up to Rs. 7.5 lakh under the standard policy wording.
- Never settle a third-party claim privately without telling your insurer - you may forfeit the cover.

What to do if you are the one injured

Get treatment first - the PM-RAHAT scheme gives cashless treatment up to Rs. 1.5 lakh at designated hospitals for road-accident victims, and the 112 helpline can guide you to the nearest one.

Record the other vehicle's registration number and, if possible, its insurance details.

Keep every medical bill, discharge summary and prescription.

For a serious claim, a MACT petition through a lawyer is the standard route to compensation.

18. The IRDAI clock: your legal timelines and the interest right

The most powerful thing in this book is a set of deadlines. They are not courtesies - they are obligations on the insurer, and they are the lever you pull when a claim stalls.

Stage	The rule	Who owes it
Surveyor allocated	Within 24 hours of the claim being reported	The insurer, via the GI Council platform
Survey report submitted	Within 15 days of the surveyor being allocated	The surveyor - but the insurer must ensure it
Claim decided	Within 7 days of the insurer receiving the survey report	The insurer
Documents	No claim may be rejected for want of documents	The insurer must call them at underwriting
Repudiation	Cannot be on grounds irrelevant to the loss, or on a delay that did not increase the loss	The insurer
Delay beyond the timeline	A violation of the regulations; the insurer is liable to a penalty	The insurer
Free look	30 days from receiving the policy document to cancel	You

The interest right. Where a general insurance claim is not settled within the stipulated timelines, the insurer is required to pay interest along with the claim amount, at the prevailing bank rate plus 2%, calculated from the date of intimation to the date of payment - and the obligation to pay it is on the insurer's own initiative, not only on your request.

How to use the clock

Keep a simple log: the date you reported, the date the surveyor was allocated, the date the report was received, and the date the claim was decided. If any of these crosses the limit, say so in writing, quote the rule, and ask for the interest. Then escalate through Chapter 20 if it still does not move.

PART FOUR

When It Goes Wrong

Why claims fail, and how to fight back properly.

19. Twelve reasons claims fail - and the fix for each

Almost every failed motor claim fails for one of twelve reasons. Each has a fix, and most of the fixes are things you do long before the accident.

#	Why the claim failed	The fix
1	Repaired before the surveyor saw it	Never repair before approval
2	Late intimation	Report the same day, every time
3	Name on policy does not match the RC	Fix mismatches at renewal
4	Policy had lapsed	Renew on time - no grace period exists
5	Undeclared modification or CNG/LPG kit	Declare and endorse every modification
6	Driver did not hold a valid licence for the vehicle class	Check the licence class before driving
7	Vehicle used outside the declared use (private vs commercial)	Declare the correct use
8	No FIR where one was required	File the FIR for theft and third-party injury
9	Unrealistically low IDV	Set a fair market-value IDV at renewal
10	Wrong or missing NCB proof at renewal	Keep your NCB certificate every year
11	Claim on an expired or wrong add-on assumption	Read the CIS; buy the add-on you actually need
12	Failure to cooperate with the survey or re-inspection	Be present and reachable

Notice the pattern: ten of the twelve are decided before the accident, not after. Motor insurance is won at the renewal desk and the garage, not at the claims counter.

20. The escalation ladder: from grievance officer to Ombudsman

If a claim is delayed, reduced or rejected unfairly, there is a defined path - and it costs you nothing to climb it. Go in order; do not skip a rung.

1. **The insurer's grievance officer.** Write to the company's designated grievance redressal officer with your policy number, claim number and the specific complaint. Keep a copy. Insurers are expected to acknowledge and resolve grievances within set turnaround times.
2. **Bima Bharosa.** If the insurer does not resolve it, escalate to IRDAI's online grievance portal, **Bima Bharosa** (which replaced the earlier IGMS). It forwards your complaint to the insurer while the regulator monitors the resolution, and gives you a trackable case.
3. **The Insurance Ombudsman.** Under the Insurance Ombudsman Rules, 2017, you can approach the Ombudsman for your jurisdiction if the insurer rejects your complaint or does not reply. The Ombudsman can award compensation up to **Rs. 30 lakh**, you do not need a lawyer, and the process is free. You must generally first give the insurer a month to respond, and you must complain within one year of the insurer's decision.
4. **The consumer forum.** For a dispute beyond the Ombudsman's scope, a consumer complaint before the District, State or National Commission is the route.

> **What to put in every escalation letter**
>
> Policy number and claim number. The date you reported the loss. What the insurer did or failed to do. The rule or timeline that was breached. The exact remedy you want, in rupees. And a deadline - for example, seven days - before you escalate to the next rung. A template is in the Toolkit.

21. Three claims worked end to end

Scenario A - the Rs. 60,000 repair

A three-year-old car, comprehensive with zero-depreciation, is damaged in a collision. The owner intimates the same day, photographs the damage, and books a cashless repair at a network garage. A surveyor is allocated within 24 hours and approves a Rs. 60,000 estimate. Because zero-depreciation is in force, no depreciation is deducted; the owner pays only the Rs. 1,500 compulsory deductible and a small non-payable item. The insurer pays the garage directly. Total out-of-pocket: about Rs. 2,000 on a Rs. 60,000 repair.

Scenario B - the claim that nearly failed

A two-wheeler owner has a minor skid, has the scooter repaired at a local garage the same day, and intimates the insurer a week later. The insurer cannot verify the original damage. The claim is reduced sharply and the NCB is lost. The fix was free and available: report the same day and wait for the survey before touching the vehicle.

Scenario C - the delayed payout

A car is damaged in a flood. The insurer allocates a surveyor quickly but the report sits unsubmitted for three weeks, and then the claim is not decided for another two. The owner logs the dates, writes to the grievance officer quoting the 15-day and 7-day limits, and asks for the claim plus interest. The insurer settles with interest before the matter reaches the Ombudsman. The difference was not a lawyer - it was knowing the clock.

PART FIVE

The Toolkit

Checklists, letters and worksheets to use, not just read.

Renewal checklist

- Note the expiry date; set a reminder 30 days before.
- Confirm your NCB percentage and get proof in writing.
- Check the IDV against the vehicle's realistic market value.
- Re-audit every add-on: keep what pays, drop what does not.
- Get at least three comprehensive quotes on identical IDV and add-ons.
- Check names and address match the RC; correct any mismatch.
- Confirm the new policy begins on or before the old one ends.
- File the policy, the CIS, the RC, the licence and your NCB proof together.

Accident-day phone card

Photograph this page, or copy it into your phone notes. It is the order of operations for the first hour.

1. Safety first: hazards, triangle, people off the road. Call **112** if anyone is hurt.
2. Do not move the vehicles until photographed, unless the police ask you to.
3. Photograph the scene, the damage, the other number plate and the odometer.
4. Call the police if it is theft, third-party injury/death, or a major accident.
5. Intimate your insurer the same day. Note the claim number.
6. Do not admit fault. Do not accept cash at the scene.
7. Do not repair before the surveyor has seen the vehicle.
8. Save everything into your digital claim folder.

Claim intimation letter

Use this the same day, by email, and keep the acknowledgement. Fill in the brackets.

To: The Claims Department, [Insurer name]

Subject: Intimation of motor claim - Policy No. [policy number]

Dear Sir/Madam,

I wish to intimate a claim under my motor policy no. [policy number] for my vehicle [make, model, registration number], insured with you from [start date] to [end date].

Date and time of loss: [date, time]. Place of loss: [location].

Nature of loss: [accident / theft / flood / fire / other - brief description].

Third party involved: [yes/no]. Police intimation: [FIR no., or not required].

I request you to register the claim, share the claim number, and allocate a surveyor as required within 24 hours of this intimation, in line with the IRDAI Master Circular on General Insurance Business dated 11 June 2024. I have not carried out, and will not carry out, any repair before the survey.

Yours faithfully, [Name], [Mobile], [Policy holder's address]

Grievance escalation letter

Use this when a claim stalls or is decided unfairly. Send it to the insurer's grievance officer, and keep a copy for Bima Bharosa and the Ombudsman.

To: The Grievance Redressal Officer, [Insurer name]

Subject: Grievance - claim no. [claim number], policy no. [policy number]

Dear Sir/Madam,

1. I reported a motor claim on [date of intimation]. The claim number is [claim number].

2. As of today, [describe the failure - e.g. 'the survey report has not been obtained within 15 days of allocation' or 'the claim has not been decided within 7 days of the survey report'].

3. This is contrary to the timelines in the IRDAI Master Circular on General Insurance Business dated 11 June 2024.

4. I request: (a) settlement of the admissible claim; (b) interest at the bank rate plus 2% from the date of intimation, as provided; and (c) a written reply within 7 days.

5. If this is not resolved, I will escalate to Bima Bharosa and the Insurance Ombudsman.

Yours faithfully, [Name], [Mobile], [Email]

Premium and claim worksheet

Copy this table into a note and fill it in at every renewal. It turns a confusing premium into a checklist of decisions you control.

Item	This year	Next year
Vehicle and registration number		
Insurer		
Third-party premium (fixed)		
Own-damage base premium		
NCB percentage applied		
IDV chosen		
Compulsory deductible		
Voluntary deductible		
Add-ons purchased		
GST (18%)		
Total premium paid		
Any claim made? (Y/N)		

One habit that pays every year

Fill in the 'next year' column the day you renew. When the following renewal arrives, you will know exactly what changed, what the NCB should be, and what you paid last time - which is all the information you need to negotiate a better price or switch insurer with confidence.

The 30-question FAQ

Q	Answer
1	**Is third-party insurance really compulsory?** Yes. Section 146 of the Motor Vehicles Act, 1988 requires it for any vehicle used on a public road.
2	**Can I negotiate the third-party premium?** No. It is fixed by the Government and identical at every insurer.
3	**What is the cheapest way to lower my premium?** Protect and use your No Claim Bonus, shop the own-damage half across insurers, and drop add-ons that do not apply to you.
4	**How much can NCB save me?** Up to 50% of the own-damage premium after five claim-free years.
5	**Does NCB belong to me or to the car?** To you. You can carry it to a new vehicle and to a new insurer with proof.
6	**I am switching insurers. Will I lose my NCB?** No, if you carry proof - the previous policy or an NCB certificate.
7	**My policy lapsed for two months. Is my NCB gone?** If the gap exceeds 90 days, yes. Within 90 days, it is preserved.
8	**Should I claim for a small dent?** Do the arithmetic: the NCB you forfeit plus the deductible against the repair cost. For small damage, paying out of pocket is often cheaper.
9	**Is zero-depreciation worth it?** Yes - it is the most valuable add-on, because it removes the depreciation deduction that most reduces a payout.
10	**Do I need an FIR for every accident?** No. It is mandatory for theft and for third-party injury or death. For minor own-damage, a self-declaration may be accepted.
11	**How soon must I inform the insurer?** The same day is best. Most insurers expect intimation within 24-48 hours.
12	**Can I repair my vehicle first?** No. Never repair before the surveyor has assessed the damage and approval is given.
13	**When is a surveyor mandatory?** For a motor loss assessed at Rs. 50,000 or more.
14	**How fast must a surveyor be allocated?** Within 24 hours of the claim being reported.
15	**How long does the surveyor have for the report?** 15 days from allocation.
16	**How long does the insurer have to decide?** 7 days from receiving the survey report.
17	**Can the insurer reject my claim for missing documents?** No. IRDAI's Master Circular states that no claim shall be rejected for want of documents.
18	**What is cashless?** The insurer pays a network garage directly; you pay only the deductible and non-covered items.
19	**What is reimbursement?** You repair at any garage, pay, then submit original bills for refund.
20	**Will I get the full repair cost?** Not always. Depreciation, deductibles and non-payable items are deducted unless the relevant add-ons are in force.
21	**What is a total loss?** When the vehicle is damaged beyond economic repair, commonly when repair exceeds about 75% of the IDV. The claim settles on the IDV.
22	**What documents do I need for theft?** An FIR, the vehicle keys, the RC, and a non-traceable certificate once the search is closed.
23	**What is PM-RAHAT?** The Government's road-accident cashless treatment scheme, giving up to Rs. 1.5 lakh per victim for up to 7 days.
24	**What is Bima Bharosa?** IRDAI's online grievance portal - the way to escalate a complaint against an insurer.
25	**What is the Insurance Ombudsman's limit?** Awards up to Rs. 30 lakh under the Insurance Ombudsman Rules, 2017. You do not need a lawyer.
26	**How long do I have to complain to the Ombudsman?** Generally within one year of the insurer's decision, after giving the insurer a month to respond.

Q	Answer
27	**Can I cancel a policy I just bought?** Yes - a 30-day free look from receipt of the policy document, with a refund less proportionate risk premium and stamp duty.
28	**Is GST charged on motor insurance?** Yes, 18% on the premium.
29	**What is the CIS?** The Customer Information Sheet - a plain-language summary of your policy that IRDAI now requires.
30	**Do I need own-damage cover at all?** It is optional, but it is the half that pays you. A liability-only policy never repairs your own vehicle.

Glossary

Term	Meaning
Add-on	Extra cover bought on top of the base policy.
Cashless	Repair paid directly by the insurer to a network garage.
CIS	Customer Information Sheet - IRDAI-mandated plain-language policy summary.
Compulsory deductible	The first slice of every own-damage claim that you pay.
Constructive total loss	Damage beyond economic repair; the claim settles on the IDV.
IDV	Insured Declared Value - the maximum payable on total loss or theft.
MACT	Motor Accident Claims Tribunal - decides serious third-party compensation.
NCB	No Claim Bonus - a discount on the own-damage premium for claim-free years.
OD	Own-damage - the half of the policy that covers your own vehicle.
PM-RAHAT	The road-accident cashless treatment scheme, up to Rs. 1.5 lakh per victim.
Reimbursement	You pay for the repair and claim a refund from the insurer.
Surveyor	A licensed loss assessor who inspects damage and reports a figure.
TP	Third-party - the mandatory half covering injury or damage you cause to others.

Sources

- IRDAI, Master Circular on General Insurance Business, 11 June 2024 (IRDAI/NL/MSTCIR/MISC/90/06/2024).
- IRDAI, Master Circular on Protection of Policyholders' Interests, 5 September 2024, and the IRDAI (Protection of Policyholders' Interests, Operations and Allied Matters of Insurers) Regulations, 2024.
- IRDAI, Motor Insurance Handbook; and the standard Indian motor policy wordings (own-damage, third-party and bundled covers).
- IRDAI circulars on long-term motor third-party covers for new cars (3 years) and new two-wheelers (5 years), following the Supreme Court's order in S. Rajaseekaran v. Union of India.
- The Motor Vehicles Act, 1988 - Sections 146, 161, 162 and 164B.
- The Motor Vehicles (Third Party Insurance Base Premium and Liability) Rules, 2022, as amended in 2024.
- Ministry of Road Transport and Highways and PIB releases on the PM-RAHAT road-accident cashless treatment scheme (S.O. 2015(E), 05.05.2025; S.O. 952(E), 19.02.2026).
- The Insurance Ombudsman Rules, 2017.
- IRDAI Bima Bharosa grievance portal.

This playbook is educational content and is not legal, insurance or financial advice. Insurance products, premiums and policy wordings vary by insurer and by policy, and are subject to change. Always read your own policy document, the Customer Information Sheet, and the IRDAI and MoRTH notifications in force on the date you renew or claim.